IN THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH- V

C A (CAA) 112 (ND) of 2021

IN THE MATTER OF:

Sections 230-232 of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

AND

IN THE MATTER OF SCHEME OF AMALGAMATION

AMONGST

DIGICONTENT LIMITED,
Hindustan Times House, 2nd floor 18-20 Kasturba Gandhi Marg, New Delhi — 11000

.....Applicant No. 1/Transferor Company No. 1

AND

HT MOBILE SOLUTIONS LIMITED,
Hindustan Times House, 2nd Floor, 18-20 Kasturba Gandhi Marg, New Delhi – 110001

.....Applicant No. 2/Transferor Company No. 3

AND

HT MEDIA LIMITED,
18-20 Kasturba Gandhi Marg, New Delhi – 110001

.....Applicant No. 3/Transferee Company

ORDER DELIVERED ON: 22.12.2021

CORAM:
MR. ABNI RANJAN KUMAR SINHA, MEMBER (JUDICIAL)
MR. AVINASH K. SRIVASTAVA, MEMBER (TECHNICAL)

For Petitioner(s): Adv. Pooja Mahajan and Adv. Arveena Sharma

ORDER

PER: MR. ABNI RANJAN KUMAR SINHA, MEMBER (Judicial)

1. This is a joint application filled by the Applicant Companies under Section 230 to 232 of the Companies Act, 2013 (for brevity "The Act") read with Companies (Compromises, Arrangements and Amalgamation) Rule, 2016 (for brevity "The Rules") in relation to the Scheme of Amalgamation (for brevity the "The Scheme") proposed between the Applicant Companies. In terms of Sections 230 and 232 of the Act following prayers have been made for orders:-

a) *Dispense with the requirement of convening the meeting of the Unsecured Creditors of the Transferor Company 1, as the Unsecured Creditors representing 99.93 % of total outstanding amount of Unsecured Creditors of the Transferor Company I as on 31st March 2021 have given their consent in writing on affidavits for the Scheme and the said dispensation;*

b) *Dispense with the requirement of convening the meeting of the Unsecured Creditors of the Transferor Company 3, as the Unsecured Creditors representing 91.68 % of total outstanding amount of Unsecured Creditors of the Transferor Company-3-as on 31st March 2021 have given their consent in writing on affidavits for the Scheme and the said dispensation*

c) *Dispense with the requirement of sending individual notices for convening meeting of the Unsecured Creditors of the Transferee Company to such Unsecured Creditors having an outstanding*

balance of INR 1 lakh or less, which represent only 0.75% (approx.) of the total value of unsecured creditors of the Transferee Company;

d) *Dispense with the requirement of convening the meeting of the Secured Creditors of Transferor Company 1 and Transferor Company 3 as there are no Secured Creditors of the Transferor Company 1 and Transferor Company 3;*

e) *Dispense with the requirement of sending individual notices for convening meeting of the Secured Creditors of the Transferee Company to such Secured Creditors having an outstanding balance of INR 1 lakh or less, which represent only 0.71% (approx.) of the total value of secured creditors of the Transferee Company;*

f) *Issuance of necessary directions for convening the meeting of Equity Shareholders of the Transferor Company 1, Transferor Company 3 and Transferee Company and convening separate meetings of Secured Creditors and Unsecured Creditors of Transferee Company:*

   i. *The method of convening, holding and conducting the aforementioned meetings means including day, date, time, and venue of the meetings and as to the notices and advertisement to be issued in respect of the said meetings, inter-alia including directions to convene, hold and conduct the aforementioned meetings through Video Conference ('VC')/ Other Audio-Visual Means ('OAVM');*

   ii. *Appointment of the Chairman/men and Scrutinizers(s) for the aforementioned meetings and in respect of adjournment(s), if any, and further to direct the said Chairman/men to report the results of the said meetings to the Hon'ble NCLT,*

   iii. *Fix the Quorum for the aforesaid meetings and the procedure for voting at the aforementioned meetings, including voting by proxy be laid out;*

iv. Authorization for engagement of agency(ies)/intermediary for holding aforementioned meetings through Video Conference ('VC')/Other Audio-Visual Means ('OAVM)'), if permitted as above.

g) Issue necessary directions to the Applicant Companies for the service of notices of the meeting to the concerned statutory authorities;

h) Pass such other or further orders as this Hon'ble NCLT may deem fit and proper in the facts and circumstances of the present case.

2. Affidavits in support of the application sworn for and on behalf of the Applicant Companies have been filed by Ms. Anna Abraham, Mr. Pervez Bajan and Mr. Piyush Gupta being the authorized signatories.

3. It is represented that the Scheme does not contemplate any corporate debt restructuring exercise as contemplated under Section 230(2) of the Act. It is further represented that the application filed by the Applicant Companies is maintainable in view of Rule 3(2) of the Rules and it is also represented that the registered office of all the Applicant Companies are situated within the territorial jurisdiction of this Tribunal and falls within the domain of Registrar of Companies, NCT, New Delhi. Since, Next Media Works Limited, Transferor Company No. 2 is situated outside the jurisdiction of this Hon'ble NCLT, New Delhi Bench, a separate application has been filed before the Hon'ble NCLT, Bench at Mumbai by Transferor Company 2, bearing CA (CAA) No. 215 5 for convening/dispensing with the meetings of shareholders and/or creditors.

4. It is submitted that the proposed amalgamation is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013 and the same if sanctioned by this Tribunal the appointed date as provided in the Scheme shall be 01.04.2020.

5. In relation to the Transferor Company No. 1, it has been represented that the company has 26,911 Equity Shareholders whose consent affidavits have not been obtained. We are further apprised that the Transferor Company No. 1 has NIL Secured Creditor and 17 Unsecured Creditors out of which the consent certificates of 3 Unsecured Creditors have been obtained constituting 99.23% in value. In relation to the shareholders, the Transferor Company No. 1 has prayed to convene the meeting. In respect of Unsecured Creditors, the Transferor Company No. 1 seeks dispensation from convening of the meeting.

6. In relation to the Transferor Company No. 3, it has been represented that the company has 10 Equity Shareholders whose consent affidavits have not been obtained. We are further apprised that the Transferor Company No. 3 has NIL Secured Creditors and 65 Unsecured Creditors out of which the consent certificates of 3 Unsecured Creditors have been obtained constituting 91.68% in value. In relation to the shareholders, the Transferor Company No. 3 has prayed to convene the meeting. In respect of Unsecured Creditors, the Transferor Company No. 1 seeks dispensation from convening of the meeting.

7. In relation to the Transferee Company, it has been represented that the company has 34,605 Equity Shareholders, 213 Secured Creditors and 488 Unsecured Creditors whose consent affidavits have not been obtained. In relation to the shareholders, secured and unsecured creditors, the Transferee Company has prayed for convening and holding their respective meetings.

8. We have heard the Ld. Counsel for the Applicant Companies and perused the application and the connected documents filed along with the Scheme of Amalgamation contemplated between the Companies.

9. Transferor Company No. 1- DIGICONTENT LIMITED was incorporated on 14.08.2017 in the state of Delhi under the provisions of Companies Act, 2013. The authorised share capital of the Company is Rs. 12,00,00,000/- divided into 6,0000,000 equity shares of Rs. 2 each. The issued, subscribed

and paid-up share capital of the Company is Rs. 11,63,74,156/- divided into 5,81,87,078 equity shares of Rs. 2/- each.

10. Transferor Company No. 3- HT MOBILE SOLUTIONS LIMITED was incorporated on 19.02.2009 in the state of Delhi under the provisions of Companies Act, 1956. The authorised share capital of the Company is Rs. 553,40,00,000/- only divided into 55,34,00,000/- equity shares of Rs. 10 each. The issued, subscribed and paid-up share capital of the Company is Rs. 50,41,58,890/- divided into 5,04,15,889 equity shares of Rs. 10/- each.

11. Transferee Company- HT MEDIA LIMITED was incorporated on 03.12.2002 in the state of Delhi under the provisions of Companies Act, 1956. The authorised share capital of the Company is Rs. 72,50,00,000 divided into 362,500,000 equity shares of Rs. 2/- each. The issued, subscribed and paid-up share capital of the Company is Rs. 46,54,96,628 divided into 32,748,314 equity shares of Rs. 2/- each.

12. It is seen that the Board of Directors of all the Applicant Companies vide meeting held on 11.02.2021 have unanimously approved the proposed Scheme of Amalgamation. Copies of such resolutions passed thereat have been placed on record.

13. The Applicant Companies have filed the Audited Financial Statements for the financial year ended 31st March, 2021.

14. The Transferor Company No. 1 and Transferee Company are listed on BSE Limited ("BSE") and National Stock Exchange of India Limited ("NSE"). The Transferor Company No. 1 applied to the said stock exchanges for their no-objection to the Scheme on 3rd March 2021 and 5th March 2021 respectively. The Transferee Company applied to the said stock exchanges for their no-objection to the Scheme on 3rd March 2021. Accordingly, BSE and NSE have, by their letters, both dated 13th August 2021 and 16th August 2021

respectively given their no adverse observations to enable the Transferor Company and Transferee Company to file the Scheme with the Hon'ble Tribunal.

15. The Transferor Company No. 1 and 3 have submitted vide Affidavit dt. 08.11.2021 that no inspection, inquiry or investigation is pending against any of the aforementioned companies. The Transferee Company has submitted vide Affidavit dt. 08.11.2021 that there are various pending proceedings against the Transferee Company. It is further stated that the pendency of these proceedings have no impact/affect on the proposed scheme of amalgamation.

16. Certificate of respective statutory auditors of the Applicant Companies have been placed on record confirming that the accounting treatment in the scheme is in conformity with Section 133 of the Companies Act, 2013.

17. Joint Equity Share Exchange Ratio Report dated 10.02.2021 obtained from Registered Valuer has been placed on record. Further, Fairness Opinion dt. 10.02.2021 from SEBI Registered Category-1 Merchant Bankers has also been placed on record.

18. In sequel to above, in terms of Section 230(9) of the Companies Act, if ninety percent value of creditor or class of creditors by way of an affidavit have given his consent, then meeting to convene the creditors may be dispense with. We further notice, the petitioners have prayed to convene the meeting of shareholders. Accordingly, the following directions are given:-

A. **In relation to the Transferor Company No. 1:**

i. With respect to Shareholders:

The meeting of Shareholders of Transferor Company No. 1 is directed to be held through Video Conferencing/Other

Audio Visuals Means within 30 days of this order. The Quorum of the meeting shall be 75% in value.

ii. **With respect to Secured Creditors:**

It is represented by the Transferor Company No. 1 that there are NIL Secured Creditors. Therefore, the necessity of convening and holding a meeting does not arise.

iii. **With respect to Unsecured Creditors:**

It is represented by the Transferor Company No. 1 that 3 out of 17 Unsecured Creditors constituting 99.23% of the total value have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting is dispensed with.

B. **In relation to the Transferor Company No. 3:**

i. **With respect to Shareholders:**

The meeting of Shareholders of Transferor Company No. 3 is directed to be held through Video Conferencing/Other Audio Visuals Means within 30 days of this order. The Quorum of the meeting shall be 75% in value.

ii. **With respect to Secured Creditors:**

It is represented by the Transferor Company No. 3 that there are NIL Secured Creditors. Therefore, the necessity of convening and holding a meeting does not arise.

iii. **With respect to Unsecured Creditors:**

It is represented by the Transferor Company No. 3 that 3 out of 65 Unsecured Creditors constituting 91.68% of the total value have already placed their consent-affidavits on

record. Therefore, the necessity of convening and holding a meeting is dispensed with.

C. **In relation to the Transferee Company:**

i. **With respect to Shareholders:**

The meeting of Shareholders of Transferee Company is directed to be held through Video Conferencing/Other Audio Visuals Means within 30 days of this order. The Quorum of the meeting shall be 75% in value.

ii. **With respect to Secured Creditors:**

The meeting of Secured Creditors of Transferee Company is directed to be held through Video Conferencing/Other Audio Visuals Means within 30 days of this order. The Quorum of the meeting shall be 75% in value.

iii. **With respect to Unsecured Creditors:**

The meeting of Unsecured Creditors of Transferee Company is directed to be held through Video Conferencing/Other Audio Visuals Means within 30 days of this order. The Quorum of the meeting shall be 75% in value.

D. In case the quorum as noted above for the aforesaid meetings are not present at the meeting, then the meeting shall be adjourned by half an hour, thereafter the persons present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum, the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting is filled with the Registered Office of the Applicant Companies at least 48 hours before the meetings. The Chairperson and Alternate Chairperson appointed herein alongwith

the Scrutinizer shall ensure that the proxy registers are properly maintained.

E. Mr. Satwinder Singh, Advocate (Mobile No.) is appointed as the Chairperson, Mr. N.C. Khanna, Practicing Company Secretary (Mobile No.) is appointed as Alternate Chairman and Mr. Manish Gupta, Practicing Company Secretary (Mobile No.) as Scrutinizer for the aforementioned meetings in terms of the direction issued herein.

F. The fee of the Chairperson for the aforesaid meetings shall be Rs. 75000/-, The fee of the Alternate Chairperson shall be Rs. 75000/- and the fee of the Scrutinizer shall be Rs. 50000/- in addition to meeting their incidental expenses.

G. The individual notices of the said meetings shall be sent as required and prescribed in terms of Section 230(3) of the Companies Act, 2013 through registered post or speed post or through courier or through e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, place and time as aforesaid, together with a copy of scheme of amalgamation and a copy of explanatory statement. A part from that notice under documents shall also be placed on the website of the respective Applicant Companies. These documents shall also be sent to the Securities and Exchange Board and Stock Exchange, where the securities of the Companies are listed, for placing on thier website. The prescribed form of proxy shall be sent along with and in addition to the above documents, any other documents as may be prescribed under the Act.

H. That the Applicant Companies shall publish advertisement with a gap of at least 30 days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in Delhi Editions of "Mint" English and "Hindustan" Hindi newspapers stating that the Copies of the Scheme, the Explanatory Statement required to be furnish pursuant to Section 230 of the Companies

Act, 2013 and the form of proxy shall be provide free of charge at the Registered Office of the Applicant Companies.

I. Voting shall be allowed on the proposed Scheme by voting in person or by proxy or through electronic means or through show of hands as may be applicable to the respective companies under the Act and rules framed there under. The Chairperson shall be responsible to report the result of the meeting to this Tribunal within two weeks of the conclusion of the meeting with regard to the proposed scheme.

J. Notice of this Meeting shall also be served on the following authorities:-

a. The Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, B-2 Wing, 2nd Floor, Pt. Deen Dayal Antodaya Bhawan, CGO Complex, Lodhi Road, New Delhi-110 003;

b. The Registrar of Companies, NCT of Delhi, Ministry of Corporate Affairs, 4th Floor, IFCI Tower, 61, Nehru Place, New Delhi-110019;

c. The Official Liquidator, Ministry of Corporate Affairs, 8th Floor, Lok Nayak Bhawan, Khan Market, New Delhi-110001;

d. The Income Tax Department, through the Nodal Office- DCIT (High Court Cell), Room No. 428 & 429, Lawyer's Chambers, Block No. 1, Delhi High Court, New Delhi. The notices to Income Tax authorities shall disclose sufficient details like PAN card numbers, ward numbers and assessing officers so that timely and proper reply may be filed;

e. Securities and Exchange Board of India (SEBI)- Plot No.C4-A, 'G' Block Bandra-Kurla Complex, Bandra (East), Mumbai - 400051, Maharashtra;

f. National Stock Exchange of India Ltd. (NSE)- Exchange Plaza, C-1, Block G, Bandra Kurla Complex, Bandra (E) Mumbai – 400 051;

g. Bombay Stock Exchange Ltd. (BSE)- Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai- 400001;

h. Such other Sectoral Regulatory Authorities who may have significant bearing on the operation of the Applicant Companies.

K. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

19. **Accordingly, in terms of the above order, CA (CAA) 112 (ND) of 2021 is allowed.**

Sd/-

(AVINASH K. SRIVASTAVA)
Member (T)

Sd/-

(ABNI RANJAN KUMAR SINHA)
Member (J)